



Cheaper Flight Now

Google Now will now also show you the cheapest flights available
<http://dgit.in/GNowFlight>



Dartmouth's StudentLife app

There is an app that will let you know whether your mental health is affecting your grades
<http://dgit.in/StudentLifeApp>



Understanding Payment Gateways will save you from a lot of heartache later

amenities provided by payment gateways are variable. With the entry of relatively new entrants such as PayU, Zaakpay and Flipkart's PayZippy, not only have service prices fallen for merchants but they have also forced the bigger companies like CCAvenue and EBS to remodel their pricing plans. We take into account the best of the lot and present you with an easy breakdown of their relevant features.

CCAvenue: All values are exclusive of tax charges and certain fees like Annual Software Upgradation Charges are payable in advance in April of every year.

EBS: Service tax is applicable on all charges. Payments for Monthly Maintenance Charge (MMC) including service tax are deducted via Electronic Clearing Service (ECS). Transactions are settled within two days from date of transaction

Direcpay: All government taxes additionally applicable. They also support the use of ITZ Cash Cards as payment.

PayZippy: PayZippy has discontinued its Promotional plans as of June 2014. All rates exclusive of service tax.

PayU India: All government service taxes in addition to rates stated. Existing PayU users have a ₹2,400/- Annual Maintenance Charge on all plans. New users can avail of an offer with zero start-up costs, zero maintenance charges and 2% Transaction Discount Rate on a special offer in September 2014.

Zaakpay: Details for Zaakpay are likely to change by time of publication.

What's Right for You?

Different businesses have different needs. If you are a small firm beginning sales online your needs require flexibility to scale up, low transactional costs and a high integrity framework where the least possible transactions suffer from technical problems. In order to ensure your requirements you would have to gauge the pros and cons of the listed payment gateways and integrate the changes in your pricing to see which one works best within your means. The point to be remembered is that the convenience and assurance of a payment gateway is a critical business investment.

The volume of transactions help define the definition of businesses online. Very rarely do we find single large scale retail payments which go into lakhs per transaction. Most businesses online can, on average, plan for a few thousand rupees at most for a per transaction amount. Since the security standard across the payment gateways is very standardised the add-ons of fraud detection are the only features that need to be negotiated. The biggest trade off to be considered is the increased costs to the company and how well it can be absorbed through changes in a merchant's pricing model.

The best means in this respect for a small business is for them to take advantage of promotional offers where minimal set-up costs are required. The higher transactional rates are best absorbed by the company or passed onto customers

through price changes. This allows them to offer the best customer experience and plan for scaling up to a higher subscription based payment gateway as time goes on. In comparison to mid-range business, the need to scale up should be highly prioritised over transaction charges. The security, convenience and universality of acceptance is most needed for customer aggregation and growth.

Mid-sized businesses on the other hand definitely benefit from the set-up costs for investment in payment gateways as they are able to amortize the cost across the breadth of their larger future revenue. Given the comparatively larger sales transactions mid-range business can afford to use payment gateways more liberally and even consider the benefits of partnering with banks for web servers themselves to improve sales efficiency. However, if you're anticipating a higher transactional frequency for a one time use – such as accepting delegate payments for an event, which can reach into thousands of transactions – it's best to opt for a free payment gateway service which has a higher transactional charge.

For cases where the business has extremely low overhead or is singularly run, such as a home craft delivery service or a freelancer initiative, the best option is still to use online banking payment systems. Such merchants can have their banking information securely transmitted to verified customers and the customers can make payments using their own online banking services through RTGS or NEFT transfers. This system, although slower is still the most cost effective for an independently run solo enterprise. You can also consider starting an e-commerce website from scratch using services such as Shopify and Zepo.

Steps to Implementing a Payment Gateway

In today's service-oriented enterprise model it isn't necessary or recommended that you code your own website for payment gateway support. The process required to securely connect your own platform to banks can easily be obtained using optional features from your Content Management Service provider